

China Daily Brief

Monday, September 28, 2026

2,660 words · 11 min read

RE: \$30B tariff lists released · Perdue arms-offer disclosure · industrial profit growth slows · Shoal standoff · Taiwan-Xi WWII spat

USD/CNY
6.7011
▲ +0.09%

SSE COMPOSITE
3,823.62
▼ -3.20%

HANG SENG
24,642.51
▼ -1.60%

BRENT
\$101.07
▼ -1.95%

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• TODAY AT A GLANCE

- 1 The US and China released lists of goods eligible for the \$30 billion reciprocal tariff cuts agreed at last week's summit, with soybeans excluded from Beijing's tariff-relief list for US farm goods.
- 2 US Ambassador David Perdue said Trump asked Xi Jinping whether China would like to buy American weapons, prompting a same-day White House denial of any sale plans.
- 3 China's industrial profit growth slowed to 4.2 percent in August, the weakest reading this year, adding pressure on Beijing to expand stimulus.

US-CHINA

China cuts tariffs on US farm goods but excludes soybeans from relief list

China published its list of tariff cuts under the \$30-billion-per-side relief framework agreed at last week's summit, but soybeans were left off. The lists cover roughly \$60 billion of two-way trade, with Washington cutting duties on Chinese toys, sports equipment and holiday decorations and Beijing lowering levies on US farm goods, cosmetics and medical devices.

REUTERS, SEPT 28

DIPLOMACY

Trump asked Xi if China wanted to buy US weapons, ambassador says

US Ambassador to China **David Perdue** said Trump asked **Xi Jinping** directly whether Beijing would like to buy American weapons during last week's Washington summit. The White House said afterward it has no plans for such a sale.

NYT, SEPT 27

CROSS-STRAIT

Taiwan pushes back after Xi presses Trump on WWII narrative, Taiwan independence

Taipei rejected Xi's framing of World War Two history in his summit meeting with Trump, in which Xi urged Washington to formally oppose Taiwan independence. Trump said afterward that Xi 'knows how I feel' on Taiwan without describing any policy change.

REUTERS, SEPT 28

PRC-ECONOMY

China's industrial profit growth hits weakest pace of the year at 4.2%

China's industrial profits expanded just *4.2 percent* in August, the weakest reading this year, per National Bureau of Statistics data cited by CNBC. Economists expect Beijing to lean harder on stimulus to stabilize corporate profitability as consolidation accelerates amid sluggish demand.

CNBC, SEPT 28

INDO-PACIFIC

Second Thomas Shoal standoff sparks sharp US-China embassy exchange

The US and Chinese embassies in Manila traded accusations after a standoff at Second Thomas Shoal, with Washington backing the Philippines and accusing Beijing of 'dangerous blocking and irresponsible manoeuvres' that threatened a collision and blocked a lawful resupply mission.

SCMP, SEPT 28

China broadens exit-travel curbs to families of top AI researchers

Beijing has extended exit-travel restrictions to cover family members of leading AI researchers, Bloomberg reported, building on the new exit-entry rules that took effect Sept. 15. The move expands a national-security-linked departure-control regime already applied to semiconductor and tech-sector personnel.

BLOOMBERG, SEPT 28

• OVERNIGHT

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- DIPLOMACY** Two giant pandas land in Atlanta under US-China loan deal · The New York Times
Ping Ping and Fu Shuang arrived in Atlanta Sunday on a FedEx-operated Boeing 777 under a decade-long loan, days after Xi announced the transfer during his Washington visit. Zoo Atlanta renovated its panda facilities ahead of the pair's arrival.
-
- DIPLOMACY** Paul Chan: China-US dialogue eases concerns, but competition persists · South China Morning Post
Hong Kong's financial secretary said increased China-US dialogue provides greater global certainty even as economic competition between the two powers continues. He said Hong Kong is positioned to play a unique role following the Xi-Trump summit's trade agreements.
-
- DIPLOMACY** BBC Chinese: summit delivered tariff truce, AI dialogue, muted Taiwan messaging · BBC Chinese
BBC Chinese assessed the summit as producing a tariff truce and a new AI-dialogue channel while leaving Taiwan largely unaddressed in public readouts. The wrap-up noted an implicit dig at Japan embedded in Xi's remarks to Trump.
-
- DIPLOMACY** Chinese tech executives notably absent from Xi's second White House dinner · NYT Chinese
Executives who accompanied Xi on his first US state visit were missing from the latest White House dinner, reflecting how competition and political risk have reshaped Sino-US corporate ties. The report contrasted the guest list with Jack Ma's presence on Xi's earlier trip.
-
- CROSS-STRAIT** Taiwan doubles space-agency workforce in resilience push · Nikkei Asia
Taiwan's space agency has more than doubled its workforce over five years and is seeking deeper collaboration with the US, its chief told Nikkei. The expansion targets resilience in space-based communications and reconnaissance capacity.
-
- PRC-ECONOMY** Coal imports among 'thin list' of concrete Xi-Trump summit outcomes · South China Morning Post
China's deliverables included tariff cuts on 1,619 US products and a pledge to resume coal imports, among the few concrete results from Xi's Washington visit, per a White House statement. The US matched with tariff reductions on Chinese goods including agriculture, cosmetics and medical devices.
-

DIPLOMACY · CNBC

Analysts: truce needs 'tangible outcomes' to hold

Trump and Xi signaled plans to meet two more times this year after last week's Washington summit, their second face-to-face meeting of 2026 following May's Beijing summit. Analysts told CNBC that concrete deliverables, not symbolism, will determine whether the truce holds.

DIPLOMACY · REUTERS

Trump-Xi 'stalemate' summit called a glitzy gift to Beijing

Reuters analysis found the summit produced no resolution on export controls, AI or cyber issues left over from May's Beijing meeting. Xi secured a high-profile Washington platform to press Trump on Taiwan while facing no new US pressure on those unresolved fronts.

MILITARY · WSJ

US denies weapons-sale plans after Perdue's Xi disclosure

The State Department said the US has no plans to sell weapons to China, a day after Ambassador **David Perdue** disclosed Trump had asked Xi whether Beijing wanted to buy American arms. Perdue's remarks aired in a Fox News interview Sunday.

DIPLOMACY · BLOOMBERG

US Taiwan policy unchanged after Xi's visit, Perdue says

Perdue said US Taiwan policy has not shifted despite the summit, even as Trump has not mentioned a pending \$14 billion Taiwan arms package since the visit. Trump said only that Xi 'knows how I feel' on the issue.

EXPORT CONTROLS · WSJ

WSJ maps US moves against China's critical-minerals grip

WSJ charted the scope of Beijing's control over critical-minerals supply chains and the US countermeasures deployed, tariffs, stockpiling and domestic-production subsidies. Rare-earth and yttrium export controls remain a live flashpoint ahead of the roughly Nov. 10 expiration of last year's Busan-deal suspensions.

EXPORT CONTROLS · BLOOMBERG

China may let Alibaba, ByteDance buy Nvidia's RTX chips

Beijing may allow Alibaba and ByteDance to purchase Nvidia's RTX-class chips, The Information reported, a possible loosening of informal restrictions on US AI hardware. The report follows earlier signals that Beijing had discouraged domestic firms from buying Nvidia's China-specific chips over security concerns.

CONGRESS · JIEMIAN

Senate bipartisan bill would ban Chinese optical modules from security systems

A bipartisan Senate group proposed legislation banning Chinese-made optical modules from federal national-security systems, with a five-year grace period, per Jiemian's citation of the bill. Chinese optical and communications stocks sold off sharply Monday, with the ChiNext index down 4.53 percent.

MILITARY · TAIPEI TIMES

Paparo details 'Hellscape' deterrence strategy in Time cover interview

INDOPACOM commander **Adm. Samuel Paparo** outlined a 'deterrence by denial' strategy against a potential Chinese attack on Taiwan, proposing mass drone deployment to delay any PLA amphibious

landing. His command oversees roughly 400,000 personnel, five carrier strike groups and more than 1,000 aircraft, per Time.

CROSS-STRAIT · TAIPEI TIMES

Taiwan preps NT\$22bn program for 200 upgraded Hsiung Feng missiles

Taiwan's defense ministry has prepared a NT\$22 billion (\$692.3 million) program to acquire about 200 improved Hsiung Feng II and III anti-ship missiles from 2027 to 2035. The missiles use signal-filtering microchips to defeat electronic countermeasures and are designed to sink PLAN Type 052D and Type 055 destroyers.

CROSS-STRAIT · TAIPEI TIMES

KMT lawmaker: summit stripped effectiveness of 'anti-China card'

KMT legislator **Lee Yen-hsiu** said the scale of last week's second Trump-Xi meeting undercut the 'anti-China card' Washington and Taipei could once play together. She noted Xi urged Trump to oppose Taiwan independence while the State Department said its Taiwan policy is unchanged.

CROSS-STRAIT · TAIPEI TIMES

MAC: 449 Taiwanese missing or detained in China since 2024

Taiwan's Mainland Affairs Council reported four more Taiwanese missing or detained in China in the past week, bringing the total to 449 since Jan. 1, 2024. The council flagged tech workers, businesspeople and religious-exchange travelers as facing elevated risk under China's new Sept. 15 exit-entry rules.

CROSS-STRAIT · LIANHE ZAOBAO

MOFA releases 'The Way Home' bilingual video on Taiwan after summit

China's Ministry of Foreign Affairs released a bilingual video asserting Taiwan's reunification process 'cannot be stopped,' following Xi's request that Trump publicly oppose Taiwan independence. HK01 reported the video framed unification as inevitable.

JAPAN · PLA DAILY

PLA Daily warns on Japan's military AI push in record defense budget

PLA Daily said Japan's proposed 8.9 trillion yen fiscal-2027 defense budget, a record high, prioritizes military AI including a command-control system and tactical reconnaissance satellites. The commentary said Japan's 2026 defense white paper elevated unmanned and AI warfare to strategic priority for the first time.

JAPAN · NIKKEI ASIA

Japanese herbal-medicine makers seek to cut China from supply chains

Japanese drugmakers including Tsumura are building domestic supply chains to reduce dependence on Chinese herbal imports, Nikkei reported. The shift mirrors broader Japanese industry efforts to lower exposure to China across pharmaceutical supply chains.

JAPAN · NYT CHINESE

NYT Chinese: Xi sought to open US-Japan rift via WWII history

Xi pressed Trump to limit US support for Taipei and invoked World War Two history to try to open a rift between the US and Japan, per an NYT Chinese-language analysis. The report said Xi chose his words carefully to pull Trump's Asia-Pacific positions closer to Beijing's.

MULTILATERAL · NYT CHINESE

NYT Chinese: Xi's UNGA absence underscores a weakening UN

Xi's absence from the UN General Assembly reflects an organization with declining influence over the Iran war, Gaza and AI governance, an NYT Chinese analysis said. The piece described the UN as increasingly sidelined as major powers bypass it.

ASEAN · MND

Chinese navy's 48th escort task force concludes Myanmar visit

China's 48th naval escort task force concluded a friendly visit to Myanmar, the Ministry of National Defense said, part of a deployment that also includes Bangladesh and Malaysia. The rotation of port calls has run since 2008.

• STAT OF THE DAY

\$14B

Pending Taiwan arms-sale package awaiting Trump sign-off

Trump has not mentioned the package since last week's Xi summit; it would follow a record \$11 billion deal unveiled in December, per Taiwanese officials.

Taipei Times

FINANCE / BANK OF AMERICA, ALLSPRING GLOBAL INVESTMENTS · BLOOMBERG

Global funds end four-year underweight on Chinese stocks

Bank of America-tracked active long-only funds have returned to benchmark-neutral on Chinese equities, holding *\$562 billion*, ending a four-year underweight, per Bloomberg reporting cited by Lianhe Zaobao. Allspring's Gary Tan said selling pressure 'is nearing a bottom.'

ENERGY · BLOOMBERG

China's US coal pledge looks like an easy promise to keep

China's pledge to import at least *10 million tonnes* of US coal annually through 2028 is undemanding given existing volumes, Bloomberg reported, one of the summit's few concrete deliverables alongside tariff cuts on 1,619 US products.

TECH · BLOOMBERG

Chinese chip, optical stocks slide to one-year low

The SSE Composite fell *3.2 percent* to a one-year low as a proposed US Senate ban on Chinese optical modules in national-security systems weighed on sentiment; ChiNext dropped *4.53 percent* as 10-year US Treasury yields broke above *5.2 percent*, per Jiemian.

AUTO / GENERAL MOTORS · FT

GM seeks 'safe haven' from Chinese rivals in US market

GM will keep cutting costs and focus on cheaper EVs as it seeks a 'safe haven' from Chinese rivals expanding into the US market, FT reported.

AUTO / MOMENTA, STELLANTIS, DONGFENG · REUTERS

Momenta, Stellantis China JV to co-develop intelligent driving

Momenta and Stellantis' China joint venture with Dongfeng will co-develop intelligent-driving technology, Reuters reported.

ENERGY / RIO TINTO, SHOUGANG · REUTERS

Rio Tinto commissions carbon-capture trial at Shougang plant

Rio Tinto commissioned a carbon-capture pilot trial at China's Shougang steel plant, Reuters reported.

● WHAT BEIJING DID

STATE COUNCIL + MINISTRIES · MONDAY, SEPTEMBER 28, 2026

中国人民银行 · PBOC · *Pan Gongsheng, PBOC Governor and Party Secretary*

Governor outlines financial-structure reform agenda for 15th Five-Year Plan

Pan's signed article calls for shifting monetary policy toward price-based tools, developing science-and-technology equity and bond boards, and consolidating Hong Kong's role as an offshore yuan hub under the newly issued Financial Power Construction 15th Five-Year Plan.

→ [PBOC ZH](#) ↗

中国人民银行 · PBOC · *PBOC (institutional)*

Raises daily overnight reverse-repo cap to 1 trillion yuan for holiday liquidity

The central bank will run fixed-rate overnight reverse repos from Sept. 28 to Oct. 8, lifting the daily ceiling from a prior 600 billion yuan to 1 trillion yuan to cover pre-National Day cash withdrawals and quarter-end bank assessments.

→ [PBOC ZH](#) ↗

商务部 · MOFCOM · *MOFCOM (institutional)*

Publishes details of US-China Trade Council and reciprocal \$30bn-for-\$30bn tariff framework

The ministry confirmed specifics of the framework agreed after the Xi-Trump summit lowering tariffs on \$30 billion of goods shipped in each direction.

→ [MOFCOM](#) ↗

商务部 · MOFCOM · *Head, Department of American and Oceanian Affairs (unnamed)*

Interprets outcomes of eighth round of China-US trade consultations

The readout followed the Sept. 24-26 Xi-Trump Washington summit and covers the agreed tariff and agricultural-purchase commitments.

→ [MOFCOM](#) ↗

外交部 · MOFA · TIKTOK EUROPE OPERATIONS

FIRM · TO EU

Guo Jiakun ' · MOFA spokesperson

“Per MOFA: China's position on the TikTok issue is consistent and clear.”

中方在TikTok问题上的立场是一贯的、明确的

Germany's culture and media minister said Europe should follow the US in bringing TikTok's European operations under European control.

MOFA presser ZH

外交部 · MOFA · CHINA-US AI INTERGOVERNMENTAL DIALOGUE

ROUTINE · TO US

Guo Jiakun ' · MOFA spokesperson

“Per MOFA: China is willing to maintain communication with the US side through the China-US artificial intelligence intergovernmental dialogue mechanism and other channels.”

愿同美方通过人工智能政府间对话等渠道保持沟通

The response came to a question on whether the China-US AI dialogue mechanism reflects more of the US side's approach.

MOFA presser ZH

外交部 · MOFA · UN SECRETARY-GENERAL ELECTION

ROUTINE · TO OTHER

Guo Jiakun ' · MOFA spokesperson

“Per MOFA: China will participate in the United Nations Secretary-General election process in a responsible manner.”

中国强调将以负责任态度参与联合国秘书长选举过程

The comment followed press questions on which candidate China would back for the next UN Secretary-General.

MOFA presser ZH

国防部 · MND · DOMESTIC 'PEACEFUL CHINA' CONSTRUCTION

ROUTINE · TO DOMESTIC

Xi Jinping ' · CCP General Secretary and CMC Chairman

“Per Xinhua via MND: Xi Jinping issued instructions calling for the construction of a higher-level 'Peaceful China.'”

习近平就建设更高水平平安中国作出重要指示

The instruction was relayed via the Ministry of National Defense's website Sept. 28.

MND ZH

• WHAT OTHERS ARE SAYING

TAIPEI TIMES, SEPT 28

Chen Ming-chi · Taiwan Deputy Minister of Foreign Affairs

“Taiwan faces a severe situation in the Taiwan Strait. Even though China's economy is declining, it continues investing more resources into building military capacity. Under this context, the US very much understands our defense needs.”

Comments followed the Sept. 24-26 Xi-Trump Washington summit and come as Taipei awaits action on a pending \$14 billion US arms package.

[source](#)

TIME VIA TAIPEI TIMES, SEPT 28

Adm. Samuel Paparo · INDOPACOM Commander

“where America's direct vital interests are involved, there's a high probability of denying your aggression”

Paparo described a 'Hellscape' strategy using mass drone deployment to delay a Chinese amphibious landing on Taiwan, per Time's Oct. 12 cover interview.

[source](#)

FOX NEWS VIA THE GUARDIAN, SEPT 28

David Perdue · US Ambassador to China

“President Trump continues to say, hey, we sell arms to other people around the world. He actually asked President Xi, would he like to buy some at one point.”

Perdue's Fox News interview aired Sunday, a day after the White House said it had no plans for such a sale.

[source](#)

DIPLOMACY

FT

'Xi got face': state media hail equal-footing treatment from Trump

Chinese state media hailed the respect Trump extended Xi as proof Beijing secured equal-footing treatment during the summit.

REUTERS

China's space program to send Pakistani astronaut into orbit

China's space diplomacy is extending to South Asia with a planned orbital mission for a Pakistani astronaut, Reuters reported.

TECHNOLOGY

SCMP

CSIS's Scott Kennedy: China's tech sector still a 'slow tech dragon'

CSIS's Scott Kennedy told SCMP the summit largely continued prior tracks, with two more Xi-Trump meetings planned this year.

BLOOMBERG

China tech needs AI catalyst to close valuation gap: BI

Bloomberg Intelligence said China's tech sector needs an AI catalyst to close its valuation gap with global peers.

ECONOMY

REUTERS

Hong Kong lists eight ETFs to tap Chinese insurer demand

Hong Kong listed eight new ETFs aimed at Chinese insurers seeking overseas-asset exposure, Reuters reported.

BLOOMBERG

Singapore's Kwek property clan eyes China, Japan investments

Singapore's Kwek property clan is exploring new investment opportunities in China and Japan, Bloomberg reported.

BLOOMBERG

China's tax crackdown squeezes wealthy elite harder than ever

China's tax enforcement crackdown is squeezing the country's wealthy elite harder than ever, Bloomberg reported.

● UPCOMING

Oct
1

PRC National Day, 77th anniversary

Marks 77 years since the People's Republic's founding on Oct. 1, 1949.

Oct
25

UN Resolution 2758, 55th anniversary

A contested-interpretation flashpoint over the resolution's bearing on Taiwan's UN status.

Nov
3

US midterm elections

Outcome will shape the House Select Committee on the CCP and China-policy oversight for the remainder of Trump's term.

Nov
18

APEC Economic Leaders' Meeting, Shenzhen

China hosts Nov. 18-19; Trump attendance and any third Trump-Xi meeting this year to be confirmed.

Nov
28

Taiwan nine-in-one local elections

22 mayors and magistrates and roughly 11,000 offices contested, read as a mid-term test of the Lai administration.

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